

Aave

Aave¹¹ (launched in 2017) is a lending market protocol similar to Compound and offers several enhanced features. Aave offers many additional tokens to supply and borrow beyond what Compound offers. At the time of writing, Compound offers nine distinct tokens (different ERC-20 Ethereum-based assets), and Aave offers these nine plus an additional 13 not offered on Compound. Importantly, the Aave lending and variable borrowing rates are more predictable because, unlike the volatile COMP token in Compound, no subsidy is involved.

The Aave protocol supports the ability to create entirely new markets. Each market consists of its own group of token pools with their corresponding supply and borrow interest rates. The benefit of creating a separate market is that the market's supported tokens act as collateral solely in that market and cannot affect other markets, thus mitigating any potential contagion.

Aave currently has two main markets. The first is for more conventional ERC-20 tokens similar to those of Compound, supporting assets such as ETH, USDC, and DAI. The second is specific to Uniswap LP tokens. For example, when a user deposits collateral into a Uniswap market (known as a liquidity pool), they receive an LP token that represents their ownership in the market. The LP tokens can be deposited in the Uniswap market on Aave to generate additional returns.